

# The Stealth Round

We've analysed the 68% of UK equity rounds that never get announced to the press. How many are there? Which companies are raising them? And what can they tell us about a company?

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- What value of UK equity deals go unannounced
- The sectors and regions that see the greatest and smallest proportion of rounds announced to the media
- The average round size, based on whether the deal was announced or not
- Five **scaling companies** that have kept each of their equity deals under wraps

Here's a sneak-peak inside

## Key findings

1. 68% of equity deals are not announced to the public
2. 30p in every £1 invested in UK companies is kept under wraps
3. 76% of deals under £500k are unannounced, compared with 13% of investments over £10m
4. Seed-stage startups are the least likely to announce their funding rounds
5. First and second-time fundraisings are far less likely to be announced than later raises
6. Fundraisings are more likely to be unannounced by companies based in the South of England than in the North
7. Unlike almost every other sector, deals secured by Challenger Banks are more likely to be announced than not

## Introduction: Stealth startup or IPO-ready?

An unannounced fundraising is an investment completed without any press coverage or statement from the recipient company or participating funds.

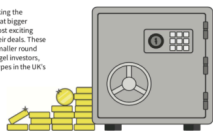
A company may choose to announce a deal for marketing purposes, raising brand awareness to bring in more customers and new talent, or to attract investors ahead of their next fundraising. Yet almost 70% of all equity deals are still kept quiet.

There are numerous reasons why a business may decide not to disclose fresh funding: the company could be operating in 'stealth mode' and so wants to stay under the radar; the round could be a precursor to a more significant event that they don't want to hint at, such as an IPO; the company is hiding a down round—a deal in which shares are sold at a lower price than before; or the round is simply not seen as newsworthy or relevant.

But with early-stage startups lacking the sophisticated PR departments that bigger companies have, it's often the most exciting ventures that don't announce their deals. These businesses also tend to attract smaller round sizes, backed by publicly- or angel investors, one of the most active investor types in the UK's high-growth economy.

With such a large proportion of equity deals going unannounced, it's not surprising that 40% of UK startups and scaleups have raised a silent round. And this includes some of the most valuable companies in the country, as 58% of active UK unicorns (private companies worth over £1b) have secured an unannounced deal—and for 1 in 3 of them, their very first equity raise was not announced to the press.

These unannounced fundraisings, also known as 'stealth rounds', are integral to understanding the UK's high-growth ecosystem. In this report, we'll explore the key characteristics of these unannounced rounds, and compare them to deals shared with the public. Plus, we'll take a closer look at five innovative UK businesses that have never announced their deals to the public.



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## Key trends

### Every round counts

As expected, a relatively large proportion (76%) of fundraisings secured by seed-stage startups go unannounced. Still early on in their growth journeys, these businesses may not yet have the means, or desire, to announce their investment rounds. They may even be operating in 'stealth mode', whereby they are keeping their product development and business plans as secret as possible whilst they get off the ground.

For venture and growth-stage companies, the proportion of deals that go unannounced stands at 62% and 54%, respectively. They're more likely to announce new finance as they gain more traction, stakeholders, and media interest.

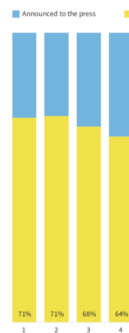
Interestingly, established companies buck this trend, with 72% of their deals going unannounced. Whilst these businesses tend to have been around for many years—decades, even—they may have only recently secured their first round of equity investment (unlike earlier-stage startups that may have been venture-backed from a young age).

Indeed, first and second-time fundraisings are much more likely to go unannounced than later rounds, at 71% of deals—compared to 62% by round five, and just 40% by the tenth funding round and beyond. This suggests that companies may hold off on announcing deals until they've proven their worth and have had a chance to put the new capital into effect.

### Proportion of unannounced deals by company stage of evolution at deal date



### Proportion of unannounced deals by ordinal number of the fundraising



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